TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONVENIENCE TRANSLATION INTO ENGLISH OF CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE INTERIM PERIOD 1 JANUARY - 31 MARCH 2013

(ORIGINALLY ISSUED IN TURKISH)

CONVENIENCE TRANSLATION INTO ENGLISH OF CONDENSED INTERIM CONSOLIDATED FINANCIAL STATEMENTS ORIGINALLY ISSUED IN TURKISH (NOTE 2.1.6)

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS FOR THE INTERIM PERIOD 1 JANUARY - 31 MARCH 2013

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CONVENIENCE TRANSLATION INTO ENGLISH OF CONDENSED INTERIM CONSOLIDATED FINANCIAL STATEMENTS ORIGINALLY ISSUED IN TURKISH (NOTE 2.1.6)

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONDENSED CONSOLIDATED BALANCE SHEETS
AT 31 MARCH 2013 AND 31 DECEMBER 2012

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Notes	*Unaudited* 31 March 2013	*Audited* 31 December 2012
ASSETS			
Current assets:			
Cash and cash equivalents	3	1.747.568	1.637.362
Financial assets	4	199	169
Trade receivables			
- Due from related parties	19	595.640	502.535
- Other trade receivables	6	278.867	263.849
Receivables from finance sector operations	7	673.038	679.747
Other receivables		153	169
Inventories	8	440.047	383.752
Other current assets	13	116.306	112.385
Total current assets		**3.851.818**	**3.579.968**
Non-current assets:			
Receivables from finance sector operations	7	474.344	497.911
Investment properties	9	24.100	24.100
Property, plant and equipment	10	1.219.668	1.255.773
Intangible assets	11	664.928	684.061
Deferred tax assets	17	12.138	9.768
Other non-current assets	13	19.183	15.762
Total non-current assets		**2.414.361**	**2.487.375**
Total assets		**6.266.179**	**6.067.343**

These condensed interim consolidated financial statements as of and for the three months period ended 31 March 2013 have been approved for issue by the Board of Directors on 6 March 2013 and signed on behalf of the Board of Directors by Chief Executive Officer Kamil Başaran, Chief Financial Officer Cengiz Eroldu, and Accounting Manager Doğu Özden.

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONDENSED CONSOLIDATED BALANCE SHEETS
AT 31 MARCH 2013 AND 31 DECEMBER 2012

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Notes	*Unaudited* 31 March 2013	*Audited* 31 December 2012
LIABILITIES			
Current liabilities:			
Financial liabilities	5	902.808	941.216
Trade Payables			
- Due to related parties	19	854.076	859.623
- Other trade payables	6	574.495	483.110
Income taxes payable		40.782	14.595
Provisions	12	99.030	72.103
Government incentives and grants		22.275	22.275
Other current liabilities			
Due to related parties	19	435.758	-
Other current liabilities	13	119.471	77.574
Total current liabilities		**3.048.695**	**2.470.496**
Non-current liabilities:			
Financial liabilities	5	1.320.918	1.344.528
Government incentives and grants		56.061	61.636
Provision for employment termination benefits		133.428	128.582
Total non-current liabilities		**1.510.407**	**1.534.746**
Total liabilities		**4.559.102**	**4.005.242**
Equity:			
Paid-in share capital		500.000	500.000
Inflation adjustment on equity items		348.382	348.382
Restricted reserves		187.983	149.301
Cumulative losses on hedging		(112.486)	(132.687)
Retained earnings		678.423	748.780
Net profit for the period		104.775	448.325
Total equity		**1.707.077**	**2.062.101**
Total liabilities and equity		**6.266.179**	**6.067.343**

The accompanying notes form an integral part of these condensed interim consolidated financial statements.

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONDENSED CONSOLIDATED STATEMENTS OF INCOME FOR THE INTERIM PERIODS ENDED 31 MARCH 2013 AND 2012

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Notes	*Unaudited* 1 January - 31 March 2013	*Unaudited* 1 January - 31 March 2012
Net sales	14	1.710.886	1.528.827
Cost of sales (-)		(1.516.387)	(1.355.242)
Gross profit from operations		194.499	173.585
Interest, fee, premium, commission and other income		47.792	43.634
Interest, fee, premium, commission and other expenses (-)		(33.535)	(31.965)
Gross profit from finance sector operations		14.257	11.669
Gross profit		**208.756**	**185.254**
Marketing, selling and distribution expenses (-)	15	(44.914)	(47.557)
General administrative expenses (-)	15	(34.475)	(30.293)
Research and development expenses (-)	15	(3.817)	(2.405)
Other income		1.643	3.349
Other expenses (-)		(1.018)	(2.419)
Operating profit		**126.175**	**105.929**
Financial income	16	56.145	96.889
Financial expenses (-)	16	(56.848)	(100.264)
Profit before tax		**125.472**	**102.554**
Tax expenses		**(20.697)**	**(5.691)**
- Taxes on income		(28.117)	(2.902)
- Deferred tax income/(expense)	17	7.420	(2.789)
Net profit for the period		**104.775**	**96.863**
Attributable to:			
Non-controlling interests		-	-
Parent company interests		104.775	96.863
Earnings per share for profit (Kr)	**18**	**0,21**	**0,19**

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME FOR THE INTERIM PERIODS ENDED 31 MARCH 2013 AND 2012

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Unaudited 1 January - 31 March 2013	*Unaudited* 1 January - 31 March 2012
Net profit for the period	**104.775**	**96.863**
Other comprehensive income:		
Cumulative gains on cash flow hedge	20.201	46.512
Other comprehensive income (after tax)	**20.201**	**46.512**
Total comprehensive income	**124.976**	**143.375**
Attributable to:		
Non-controlling interests	-	-
Parent company interests	124.976	143.375

The accompanying notes form an integral part of these condensed interim consolidated financial statements.

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONDENSED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY FOR THE INTERIM PERIODS ENDED 31 MARCH 2013 AND 2012

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Paid-in share capital	Inflation adjustment on equity items	Restricted reserves	Cumulative losses on hedging (*)	Retained earnings	Net profit for the period	Total equity
Balances at 1 January 2012	**500.000**	**348.382**	**114.560**	**(207.136)**	**559.356**	**474.165**	**1.789.327**
Transfers	-	-	34.741	-	439.424	(474.165)	-
Dividends paid	-	-	-	-	(250.000)	-	(250.000)
Total comprehensive income (*)	-	-	-	46.512	-	96.863	143.375
Balances at 31 March 2012	**500.000**	**348.382**	**149.301**	**(160.624)**	**748.780**	**96.863**	**1.682.702**
Balances at 1 January 2013	**500.000**	**348.382**	**149.301**	**(132.687)**	**748.780**	**448.325**	**2.062.101**
Transfers	-	-	38.682	-	409.643	(448.325)	-
Dividends paid	-	-	-	-	(480.000)	-	(480.000)
Total comprehensive income (*)	-	-	-	20.201	-	104.775	124.976
Balances at 31 March 2013	**500.000**	**348.382**	**187.983**	**(112.486)**	**678.423**	**104.775**	**1.707.077**

(*) Net off deferred tax amount.

The accompanying notes form an integral part of these condensed interim consolidated financial statements.

TOFAŞ TÜRK OTOMOBİL FABRİKASI A.Ş.

CONDENSED CONSOLIDATED CASH FLOW STATEMENTS FOR THE INTERIM PERIODS ENDED 31 MARCH 2013 AND 2012

(Amounts expressed in thousands of Turkish Lira ("TRY") unless otherwise indicated.)

	Notes	*Unaudited* 1 January - 31 March 2013	*Unaudited* 1 January - 31 March 2012
Cash flows from operating activities			
Profit before tax		125.472	102.554
Adjustments to reconcile income before tax to net cash generated from operating activities			
Depreciation and amortization	10, 11	89.591	83.196
Interest expenses	16	9.283	23.620
Interest income	16	(24.805)	(37.448)
Provision for employment termination benefits		10.525	8.571
Gain on sale of property, plant and equipment		(114)	(504)
Finance loans bad debt provision		(837)	820
Cash flow hedges accounted under equity		-	46.512
Interest accural		-	(6.647)
Warranty provision	12	8.694	7.997
Operating profit before working capital changes		**217.809**	**228.671**
Net working capital changes in:			
Trade receivables and due from related parties		(108.123)	242.874
Inventories		(56.295)	(5.122)
Other current/non-current assets and other receivables		(2.276)	(73.459)
Receivables from finance sector operations		31.113	(22.593)
Trade payables and due to related parties		521.596	(297.999)
Other current liabilities		41.896	49.665
Other current/ non-current payables		(5.575)	(5.575)
Employee termination benefits paid		(5.679)	(3.090)
Taxes paid		-	(4.900)
Warranty payments	12	(10.803)	(10.593)
Net cash generated from operating activities		**623.663**	**97.879**
Investing activities			
Interest received		28.376	37.731
Financial investments matured	4	169	60.424
Financial assets	4	(199)	(53.135)
Purchase of tangible and intangible assets	10, 11	(35.486)	(50.764)
Proceeds from sale of tangible and intangible assets	10, 11	1.247	1.479
Cash flow hedges accounted under equity		20.201	-
Net cash generated from/(used in) investing activities		**14.308**	**(4.265)**
Financing activities			
Interest paid		5.092	(33.938)
Dividend paid		(480.000)	-
Proceeds from bank loans		14.851	41.379
Bank loans paid		(64.137)	(61.308)
Net cash used in financing activities		**(524.194)**	**(53.867)**
Net increase in cash and cash equivalents		**113.777**	**39.747**
Cash and cash equivalents at the beginning of the year	**3**	**1.630.455**	**1.331.702**
Cash and cash equivalents at the end of the year	**3**	**1.744.232**	**1.371.449**

The accompanying notes form an integral part of these condensed interim consolidated financial statements.

NOTE 1 - GROUP'S ORGANISATION AND NATURE OF OPERATIONS

Tofaş Türk Otomobil Fabrikası A.Ş. ("the Company" or "Tofaş") was established in 1968 as a Turkish-Italian cooperation venture. The core business of the Company is manufacturing, exporting and selling passenger cars and light commercial vehicles under licenses of Fiat Auto S.p.A. ("Fiat"). The Company, which is a joint venture of Koç Holding A.Ş. ("Koç Holding") and Fiat, also produces various automotive spare parts used in its automobiles. The Company's head office is located at Büyükdere Cad. No: 145 Zincirlikuyu Şişli, İstanbul. The manufacturing facilities are located at Bursa. The Company manufactures its cars, except for Mini Cargo and New Doblo, pursuant to license agreements between the Company and Fiat. The Company has been registered with the Turkish Capital Market Board ("CMB") and quoted on the İstanbul Stock Exchange ("ISE") since 1991.

The Company conducts a significant portion of its business with affiliates of Koç Holding and Fiat Group (Note 19).

As of 31 March 2013 and 31 December 2012, consolidated subsidiaries of the Company are as follows:

		% of ownership	
Name of the company	**Operating area**	**31 March 2013**	**31 December 2012**
Koç Fiat Kredi Tüketici Finansmanı A.Ş. (KFK)	Consumer financing	99,9%	99,9%
Fer Mas Oto Ticaret A.Ş.	Trading of automobile and spare parts	99,4%	99,4%

For the purpose of the condensed consolidated financial statements, the Company and its consolidated subsidiaries are referred to as "the Group''.

The average number of personnel in accordance with their categories is as follows:

	31 March 2013	**31 December 2012**
Blue-collar	5.000	5.983
White-collar	1.320	1.319
	6.320	**7.302**

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS

2.1 Basis of presentation

2.1.1 Financial reporting standards

The CMB regulated the principles and procedures of preparation, presentation and announcement of financial statements prepared by the entities with the Communiqué No: XI-29, "Principles of Financial Reporting in Capital Markets" ("the Communiqué"). According to the Communiqué, entities shall prepare their financial statements in accordance with International Financial Reporting Standards ("IAS/IFRS") endorsed by the European Union. Until the differences of the IAS/IFRS as endorsed by the European Union from the ones issued by the International Accounting Standards Board ("IASB") are announced by Turkish Accounting Standards Board ("TASB"), IAS/IFRS issued by the IASB shall be applied. Accordingly, Turkish Accounting Standards/Turkish Financial Reporting Standards ("TAS/TFRS") issued by the TASB which are in line with the aforementioned standards shall be considered.

With the decision taken on 17 March 2005, the CMB announced that, effective from 1 January 2005, the application of inflation accounting is no longer required for companies operating in Turkey and preparing their financial statements in accordance with the financial reporting standards accepted by the CMB ("CMB Financial Reporting Standards"). Accordingly, IAS 29, "Financial Reporting in Hyperinflationary Economies", issued by the IASB, has not been applied in the financial statements for the accounting year commencing 1 January 2005.

The Group, prepares its consolidated financial statements within the framework of Communiqué XI, No:29 and related promulgations to this Communiqué as issued by the CMB, in accordance with the CMB Financial Reporting Standards which are based on IAS/IFRS. The consolidated financial statements and the related notes to them are presented in accordance with the formats recommended by the CMB, including the compulsory disclosures. Necessary changes are performed in the prior year consolidated financial statements in this scope.

The Group registered in Turkey maintain their books of account and prepare their statutory financial statements ("Statutory Financial Statements") in Turkish Lira ("TRY") in accordance with the Turkish Commercial Code ("TCC"), tax legislation and the Uniform Chart of Accounts issued by the Ministry of Finance. These consolidated financial statements are based on the statutory records and maintained under historical cost conversion, with the required adjustments and reclassifications reflected for the purpose of fair presentation in accordance with CMB Financial Reporting Standards.

2.1.2 Comparatives and adjustment of prior periods' financial statements

In order to allow for the determination of the financial situation and performance trends the Group's consolidated financial statements have been presented comparatively with the previous year. The Group presented the consolidated balance sheet as of 31 March 2013 comparatively with the consolidated balance sheet as of 31 December 2012 and presented the consolidated statement of income, statement of comprehensive income, statement of cash flows and statements of changes in equity for the period 1 January- 31 March 2013 comparatively with the period 1 January – 31 March 2012.

The Group has amended the calculation method of unused and deferred investment incentive used in corporate tax income calculation and correspondingly in the final Corporate Tax Income Declaration, subject to tax calculation in the consolidated financial statements at 31 December 2012. As a result of the mentioned method change and in order to be consistent with the financial statements of the current period, "Deferred tax asset" and "Taxation on Income" classified under the consolidated balance sheets at 31 December 2012, have increased by TRY 5.809. Furthermore, a reclassification is made in the consolidated statement of income for the year ended 31 December 2012 and "Current tax expense" is increased by TRY 5.809 and "Deferred tax expense" is decreased by TRY 5.809.

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS (Continued)

2.1.3 Functional and reporting currency

The Group's functional and reporting currency is Turkish Lira ("TRY"). Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation are recognized in the consolidated statement of income.

2.1.4 Basis of consolidation

The control relation is normally evidenced when the Company owns, either directly or indirectly, more than 50% of the voting rights of a company's share capital and is able to govern the financial and operating policies of an enterprise so as to benefit from its activities. During consolidation inter-company balances and transactions, including inter-company profits and unrealized profits and losses are eliminated. The consolidated financial statements are prepared using consistent accounting policies for similar transactions and other events in similar circumstances. Minority shares of the Company in subsidiaries were not recognized under non-controlling interest ("Minority Interests" or "Non-controlling Interests") since they do not have a material effect in consolidated financial statements. Financial statements of the Company and its subsidiaries subject to consolidation were prepared as of the same date.

2.1.5 Significant accounting judgments estimates and assumptions

The preparation of financial statements requires the Group management to make estimates and assumptions that affect certain reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting year. Actual results could differ from those estimates. Those estimates are reviewed periodically, and as adjustments become necessary they are reported in earnings in the periods in which they become known.

Significant estimates used in the preparation of these financial statements and the significant judgments with the most significant effect on amounts recognized in the financial statements are as follows:

a) The Company determines warranty provision by considering the past warranty expenses and remaining warranty period per vehicle.

b) A specific credit risk provision for loan impairment has been established to provide for management's estimate of credit losses as soon as the recovery of an exposure is identified as doubtful. Impairment and uncollectability are measured and recognized individually for loans and receivables that are individually significant, and measured and recognized on a portfolio basis for a group of similar loans and receivables that are not individually identified as impaired. As of 31 March 2013, general provisions for finance loans amounted to TRY 12.091 (31 December 2012: TRY 12.547) has been booked in the consolidated financial statements.

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS (Continued)

2.1.6 Convenience translation into English of condensed interim consolidated financial statements originally issued in Turkish

The accounting principles described in Note 2.1 to the consolidated financial statements (defined as CMB Financial Reporting Standards) differ from International Financial Reporting Standards ("IFRS") issued by the International Accounting Standards Board with respect to the application of inflation accounting for the period between 1 January and 31 December 2005. Accordingly, the accompanying condensed interim consolidated financial statements are not intended to present the financial position and results of operations in accordance with IFRS.

2.2 Amendments in International Financial Reporting Standards

Standards, amendments and interpretations effective from periods on or after 1 January 2013:

- IAS 1 (amendment), "Presentation of financial statements", is effective for annual periods beginning on or after 1 July 2012.
- IAS 19 (amendment), "Employee benefits", is effective for annual periods beginning on or after 1 January 2013.
- IAS 12 (amendment), "Income taxes", is effective for annual periods beginning on or after 1 January 2013.
- IFRS 10, "Consolidated financial statements", is effective for annual periods beginning on or after 1 January 2013.
- IFRS 11, "Joint arrangements", is effective for annual periods beginning on/after 1 January 2013.
- IFRS 12, "Disclosures of interests in other entities", is effective for annual periods beginning on or after 1 January 2013.
- IFRS 13, "Fair value measurement", is effective for annual periods beginning on or after 1 January 2013.
- IAS 27 (revised), "Separate financial statements", is effective for annual periods beginning on or after 1 January 2013.
- IAS 28 (revised), "Associates and joint ventures", is effective for annual periods beginning on or after 1 January 2013.
- IFRIC 20, Stripping costs in the production phase of a surface mine.
- IFRS 1 (amendment), "First-time adoption of IFRS", is effective for annual periods beginning on or after 1 January 2014.
- IFRS 7 (amendment), "Financial instruments: Disclosures", is effective for annual periods beginning on or after 1 January 2013.

Above amendments and interpretations have no significant effect on the consolidated financial statements of the Group.

Standards, amendments and interpretations to existing standards that are not yet required and will not have a significant effect on the financial statements of the Group as of 1 March 2013

- IFRS 9, "Financial instruments", is effective for annual periods beginning on/after 1 January 2015.
- IAS 32 (amendment), "Financial instruments: Presentation", is effective for annual periods beginning on or after 1 January 2014.
- IFRS 10, IFRS 12 and ISA 27(amendments), is effective for annual periods beginning on or after 1 January 2014.

The Group assumed that the given amendments and interpretations has no material effect on the financial statements.

NOTE 2 - BASIS OF PRESENTATION OF FINANCIAL STATEMENTS (Continued)

2.3 Summary of significant accounting policies

The condensed consolidated interim financial statements as of and for three months period ended 31 March 2013 have been prepared in accordance with IAS 34.

According to IAS 19 (amendment), "Employee benefits", effective for annual periods beginning on or after 1 January 2013, changes in the standard should be applied retrospectively and the previous year's financial statements should be restated. Accordingly, gains/losses occurred due to the changes in the actuarial assumptions used in the calculation of employee termination benefit should be reclassified to the comprehensive income statement. Considering the materiality level, the above mentioned change is not applied to the consolidated financial statements at 31 March 2013.

Except for the above mentioned policy change, the accounting policies used in the preparation of these condensed interim consolidated financial statements as of and for three months period ended 31 March 2013 are consistent with those used in the preparation of annual consolidated financial statements as of and for the year ended 31 December 2012. Accordingly, these condensed interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements as of and for the year ended 31 December 2012.

2.4 Segment reporting

Since the Company operates in one business segment and the operations are held in Turkey, there is no segment reporting. The information regarding the sales of the Company as to domestic and export sales and the categorization of sales as to product type is disclosed in Note 14.

NOTE 3 - CASH AND CASH EQUIVALENTS

	31 March 2013	31 December 2012
Cash in hand	20	4
Due from banks		
- demand deposits	197.165	148.900
- time deposits	1.550.383	1.488.458
Total	**1.747.568**	**1.637.362**

The breakdown of time deposits is as follows:

	31 March 2013		31 December 2012	
	Amount (TRY equivalent)	Effective interest rate per annum (%)	Amount (TRY equivalent)	Effective interest rate per annum (%)
TRY	1.096.108	5 - 7, 25	1.164.019	7,6 - 9
EUR	454.275	2 - 2, 3	324.439	2,7 – 3,4
Total	**1.550.383**		**1.488.458**	

As of 31 March 2013, the maturities of time deposits vary between 1-75 days (31 December 2012: between 1 and 82 days).

As of 31 March 2013, the portion amounting to TRY 606.442 (31 December 2012: TRY 564.220) of the total demand and time deposits are deposited at the bank which is a related party of the Group.

NOTE 3 - CASH AND CASH EQUIVALENTS (Continued)

As of 31 March 2013 and 2012, cash and cash equivalents for the purpose of condensed consolidated statements of cash flows are as follows:

	31 March 2013	31 March 2012
Cash and banks	1.747.568	1.378.096
Less: interest accruals	(3.336)	(6.647)
	1.744.232	**1.371.449**

NOTE 4 - FINANCIAL ASSETS

Short-term financial assets

As of 31 March 2013, the Group has available for sales financial investments amounting to TRY199 (31 December 2012: TRY169).

NOTE 5 - FINANCIAL LIABILITIES

a) Short-term financial liabilities

	31 March 2013			31 December 2012		
	Original amount (thousand)	Amount (TRY)	Interest rate (%)	Original amount (thousand)	Amount (TRY)	Interest rate (%)
Short-term borrowings denominated in						
TRY (*)	-	303.408	9,19-16,43	-	334.572	7,99-15,68
EUR (*)	8.787	20.390	7,82-8,23	19.274	45.327	6,65-6,81
Interest accrual	-	6.763	-	-	2.572	-
Current portion of long-term bank borrowings	122.434	284.120	-	122.303	287.620	-
Bonds ([1,2,3,4,5,6])	-	288.127	7,70-13,08	-	271.125	7,56-13,78
Total		**902.808**			**941.216**	

NOTE 5 - FINANCIAL LIABILITIES (Continued)

b) Long-term financial liabilities

	31 March 2013			31 December 2012		
	Original amount (thousand)	Amount (TRY)	Effective interest rate per annum (%)	Original amount (thousand)	Amount (TRY)	Effective interest rate per annum (%)
Long-term borrowings denominated in EUR	497.673	1.154.900	Euribor+0,15 Euribor+1,96	497.817	1.170.717	Euribor + 0,15 Euribor + 1,96
TRY (*)	-	260.557	9,19-16,43	-	244.202	4,51-5,78
Bonds (1,2,3,4,5,6)	-	189.581	7,56-13,78	-	217.229	7,56-13,78
Less: Current portion of long-term bank borrowings	(122.434)	(284.120)	-	(122.303)	(287.620)	
Total		**1.320.918**			**1.344.528**	

(*) A portion of short-term bank borrowings which are denominated in EUR , the whole short term bank borrowings which are denominated in TRY and the whole long-term bank borrowings which are denominated in TRY comprise bank borrowings obtained by KFK, consolidated subsidiary, to finance consumer financing loans.

(1) Based on the board of directors meeting decision at 1 November 2010, according to the Capital Market Law no 2499 with the necessary permission, commercial papers amounting to TRY20.000 comprise of bonds which is issued on 26 January 2011 with 24 months maturity, 9,08% coupon interest rate, with payments of interest at 6 month and principal + interest at the maturity. These commercial papers were sold to Yapı Kredi Bank which is a related party to the Group with closed issuance.

(2) Based on the board of directors meeting decision at 1 November 2010, according to the Capital Market Law no 2499 with the necessary permission, commercial papers amounting to TRY30.000 comprise of bonds which is issued on 26 January 2011 with 36 months maturity, 9,36% coupon interest rate, with payments of interest at every 6 month and principal + interest at the maturity. These commercial papers were sold to Yapı Kredi Bank which is a related party to the Group with closed issuance.

(3) Based on the board of directors meeting decision at 31 May 2011, according to the Capital Market Law no 2499 with the necessary permission, commercial papers amounting to TRY50.000 comprise of bonds which is issued on 13 July 2011 with 16 months maturity, 10,33% coupon interest rate, and TRY50.000 nominal value at maturity. These commercial papers were sold to Yapı Kredi Bank which is a related party to the Group with closed issuance.

(4) Based on the board of directors meeting decision at 31 May 2011, according to the Capital Market Law no 2499 with the mandatory permission, commercial papers amounting to TRY50.000 comprise of bonds which is issued on 13 July 2011 with 22 months maturity, 10,87% coupon interest rate, and TRY50.000 nominal value at maturity. These commercial papers were sold to Yapı Kredi Bank which is a related party to the Group with closed issuance.

(5) Based on the board of directors meeting decision at 9 December 2011, according to the Capital Market Law no 2499 with the mandatory permission, commercial papers amounting to TRY40.000 comprise of bonds which is issued on 17 January 2012 with 22 months maturity, 13,78% coupon interest rate, and TRY40.000 nominal value. These commercial papers were sold to Yapı Kredi Bank which is a related party to the Group with closed issuance.

NOTE 5 - FINANCIAL LIABILITIES (Continued)

(6) Based on the board of directors meeting decision at 10 February 2012, according to the Capital Market Law no 2499 with the mandatory permission, commercial papers amounting to TRY40.000 comprise of bonds which is issued on 11 April 2012 with 13 months maturity, 11,39% coupon interest rate, and TRY40.000 nominal value. These commercial papers were sold to Koç Holding Emekli ve Yardım Sandığı Foundation which is a related party to the Group with closed issuance.

(7) Based on the board of directors meeting decision at 10 February 2012, according to the Capital Market Law no 2499 with the necessary permission, commercial papers amounting to TRY50.000 comprise of bonds which is issued on 31 May 2012 with 15 months maturity, 11,68% coupon interest rate, and TRY50.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to İş Yatırım Menkul Değerler A.Ş. which is a related party to the Group with public offering issuance.

(8) Based on the board of directors meeting decision at 20 April 2012, according to the Capital Market Law no 2499 with the necessary permission, commercial papers amounting to TRY50.000 comprise of bonds which is issued on 4 June 2012 with 15 months maturity, 11,57% coupon interest rate and TRY50.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to Koç Holding Emekli ve Yardım Sandığı Vakfı which is a related party to the Group with closed issuance.

(9) Based on the board of directors meeting decision at 10 February 2012, according to the Capital Market Law no 2499 with the necessary permission, commercial papers amounting to TRY85.000 comprise of bonds which is issued on 12 November 2012 with 24 months maturity, 8,14% coupon interest rate and TRY 85.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to Yapı Kredi Yatırım Menkul Değerler A.Ş. which is a related party to the Group with public offering issuance.

(10) Based on the board of directors meeting decision at 18 October 2012, according to the Capital Market Law no 2499 with the necessary permission, commercial papers amounting to TRY50.000 comprise of bonds which is issued on 24 December 2012 with 18 months maturity, 7,56% coupon interest rate and TRY50.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to Yapı Kredi Yatırım Menkul Değerler A.Ş. which is a related party to the Group with public offering issuance.

(11) Based on the board of directors meeting decision at 18 October 2012, according to the Capital Market Law no 2499 with the necessary permission, commercial papers amounting to TRY50.000 comprise of bonds which is issued on 28 December 2012 with 20 months maturity, 7,65% coupon interest rate and TRY50.000 nominal value with principle and interest payment at maturity. These commercial papers were sold to Yapı Kredi Yatırım Menkul Değerler A.Ş. which is a related party to the Group with closed issuance.

Financial liabilities denominated in TRY has bear fixed interest rates while financial liabilities denominated Euro and USD bear floating interest rates.

As of 31 March 2013,the portion amounting to TRY 379.337 (31 December 2012: TRY 400.752) of short-term and long-term financial liabilities are obtained through banks which are related parties of the Group.

NOTE 5 - FINANCIAL LIABILITIES (Continued)

The redemption schedule of the long-term bank borrowings as of 31 March 2013 and 31 December 2012 is as follows:

	31 March 2013	31 December 2012
Between 1-2 years	733.875	749.180
Between 2-3 years	283.737	287.749
Between 3-4 years	145.690	147.751
Between 4-5 years	145.690	147.751
More than 5 years	11.926	12.097
Total	**1.320.918**	**1.344.528**

Long-term loans denominated in Euro were obtained to finance the investment to manufacture New Doblo and Mini Cargo light commercial vehicles. According to the manufacturing agreements signed by the Group, the repayment obligations related to these loans obtained for New Doblo is guaranteed by Fiat and Mini Cargo is guaranteed by Fiat and "PSA" through future purchases. The Group has obtained EUR 350 million long-term loan limit in 2006 based on two different manufacturing agreements with the participation of various financial institutions to be utilized in investment of Mini Cargo. Long-term loans -obtained in relation with the investment for Mini Cargo model- have been started to be paid beginning from the year 2008 till 2015 in equal installments. As of 31 March 2013, the remaining balance of the loan is TRY 275.206 (equivalent of EUR 118.593). The Group's exposure to foreign exchange rate and interest fluctuations for the loan obtained in relation with the investment for Mini Cargo model is undertaken by Fiat and PSA.

At 4 March 2008, a loan agreement has been signed between the Company and i) Societe Generale, Credit Agricole, Fortis Bank S.A., Ing Bank NV and Intesa Sanpaolo banks as regulator, grantor and guarantor ii) EIB as guarantor and credit grantor and iii) Servizi Assicurativi per il Commercio Estreo

S.p.A. (SACE) as guarantor role in the consortium amounting to EUR 450 million. The loans, amounting to TRY 669.314 (equivalent of EUR 288.423) have been utilized as of 31 March 2013 (31 December 2012: TRY 678.285 (equivalent of EUR 288.423) and have a maturity of ten years with two years grace period and it has been used for financing investment expenditures regarding the development and production of New Doblo. The Group's exposure to foreign exchange rate and interest fluctuations for the loan obtained in relation with the investment for New Doblo model is undertaken by Fiat.

In 2011, The Group has obtained a credit line by EUR 36 million in order to use in capacity increase of New Doblo constructions. The repayment of principle amounts will be on equal installments starting in 2012 until 2018. As of 31 March 2013, the remaining balance of the loan amount to TRY 71.555 (equivalent of EUR 30.857).

NOTE 6 - TRADE RECEIVABLES AND PAYABLES

a) Trade receivables

	31 March 2013	31 December 2012
Trade receivables	279.072	264.576
Doubtful trade receivables	6.168	6.168
Less: provision for doubtful receivables	(5.950)	(5.950)
Less: unearned credit finance income	(423)	(945)
Total	**278.867**	**263.849**

Movement of the provision for doubtful receivables is as follows:

	31 March 2013	31 March 2012
1 January	5.950	4.715
Increase during the period	-	-
31 March	**5.950**	**4.715**

Collaterals received related with trade receivables

As of 31 March 2013, the letter of guarantees, guarantee notes, mortgages and direct debit system limit (payment guarantee limit secured by the banks) obtained as collateral for trade receivables amounts to TRY 25.038, TRY 14.708, TRY 7.787, and TRY 409.679 respectively (31 December 2012: letter of guarantees amounting to TRY 21.485, guarantee notes amounting to TRY 14.846, mortgages amounting to TRY 7.787 and direct debit system limit amounting to TRY 412.244).

b) Trade payables

	31 March 2013	31 December 2012
Trade payables	575.510	484.427
Less: not accrued credit finance expense	(1.015)	(1.317)
Total	**574.495**	**483.110**

NOTE 7 - RECEIVABLES FROM FINANCE SECTOR OPERATIONS

	31 March 2013	31 December 2012
Short-term consumer financing loans	666.357	667.194
Non-performing loans	22.995	27.778
	689.352	694.972
Provisions for impairment on loans		
Provision for specific loan impairment	(9.125)	(8.281)
Provision for general loan impairment	(7.189)	(6.944)
Total	**673.038**	**679.747**
Long-term consumer financing loans	479.246	503.065
Provisions for impairment on loans		
Provision for general loan impairment	(4.902)	(5.154)
Total	**474.344**	**497.911**

As of 31 March 2013, TRY and foreign currency denominated loans originated by the Group bear interest rates ranging between 0,78% and 1,75 % per month (31 December 2012: between 0, 78% and 1,75%) and 0,75% respectively (31 December 2012: 0,75%). As of 31 March 2013, the Group has guarantees amounting to TRY 1.306.281 regarding consumer financing loans of Group's subsidiary, KFK (31 December 2012: TRY 1.356.589).

The maturities of long-term consumer financing loans are as follows:

Years	31 March 2013	31 December 2012
1 to 2 years	340.623	354.039
2 to 3 years	118.156	131.675
3 to 4 years	14.915	11.991
4 years and more	650	206
Total	**474.344**	**479.911**

As of 2013 and 2012, movements of the provision for loan impairment are as follows:

	31 March 2013	31 March 2012
Beginning of the period - 1 January	20.379	17.032
Current year provision	1.566	1.075
Recoveries from loans under follow-up	(729)	(255)
End of the period - 31 March	**21.216**	**17.852**

NOTE 7 - RECEIVABLES FROM FINANCE SECTOR OPERATIONS (Continued)

The Group has obtained pledge rights as a guarantee for its consumer financing loans, up to total amount of receivables, depending on the agreement between the Group and the consumers. Furthermore, the Group obtains mortgage guarantees where necessary. As of 31 March 2013, the fair value of guarantees obtained for the consumer loans, which have been impaired, amounts to TRY 1.307 (31 December 2012: TRY 1.357) and related impairment provision has been accounted for those loans. The fair value of guarantees obtained for the overdue consumer loans, for which no provision has been provided, amounts to TRY 9.125 (31 December 2012: TRY 8.281). The Group does not foresee any collection risk for receivables overdue up to one month considering its past experience about collecting receivables. Therefore, the Group believes that there is no any additional risk for receivables except for the provisions for possible collection losses.

NOTE 8 - INVENTORIES

	31 March 2013	31 December 2012
Raw materials	116.490	102.129
Finished goods	104.284	77.434
Goods in transit	85.181	52.308
Work-in-progress	56.878	72.375
Imported vehicles	43.480	51.009
Spare parts	38.302	33.224
Less: provision for impairment on inventories (-)	(4.568)	(4.727)
Total	**440.047**	**383.752**

NOTE 9 - INVESTMENT PROPERTIES

The movement of investment properties for three-months period ended 31 March 2013 and 2012 is as follows:

	2013	2012
1 January, net book value	24.100	22.100
Additions	-	-
Fair value increase	-	-
31 March, net book value	**24.100**	**22.100**
As of 31 March		
Cost	24.100	22.100
31 March, net book value	**24.100**	**22.100**

As of 31 December 2012, the fair value of the property has been determined as TRY 24.100 by using benchmarking method. As a result of the revaluation of the investment property, revaluation gains amounting to TRY 2.000 has been accounted for under other income. Relevant valuation report is based on valuation determined by an independent firm which has CMB license and necessary professional experience.

NOTE 10 - PROPERTY, PLANT AND EQUIPMENT

The movement of property, plant and equipment and the accumulated depreciation for three-months interim period ended 31 March 2013 is as follows:

	Land, land improvements and buildings	Machinery and equipments	Furniture and fixtures	Vehicles	Leasehold improvements	Construction in progress	Total
As of 1 January							
Cost	355.256	3.185.967	328.069	36.316	10.233	109.929	4.025.770
Accumulated depreciation	(196.598)	(2.308.194)	(232.838)	(27.292)	(5.075)	-	(2.769.997)
Net book value	**158.658**	**877.773**	**95.231**	**9.024**	**5.158**	**109.929**	**1.255.773**
1 January 2013, net book value	**158.658**	**877.773**	**95.231**	**9.024**	**5.158**	**109.929**	**1.255.773**
Additions	-	-	16	-	-	12.615	12.631
Disposals, net	-	(623)	(30)	(480)	-	-	(1.133)
Transfers	2	3.965	1.551	329	-	(5.847)	-
Depreciation charge for the period	(1.753)	(39.564)	(5.740)	(462)	(84)	-	(47.603)
31 March 2013, net book value	**156.907**	**841.551**	**91.028**	**8.411**	**5.074**	**116.697**	**1.219.668**
As of 31 March 2013							
Cost	355.258	3.189.309	329.606	36.165	10.233	116.697	4.037.268
Accumulated depreciation	(198.351)	(2.347.758)	(238.578)	(27.754)	(5.159)	-	(2.817.600)
31 March 2013, net book value	**156.907**	**841.551**	**91.028**	**8.411**	**5.074**	**116.697**	**1.219.668**

As of 31 March 2013 there are no pledged assets as collateral (31 December 2012: None).

As of 31 March 2013, the cost of tangible assets which are fully depreciated and still in use amounts to TRY 1.870.100 (31 December 2012: TRY 1.870.509)

NOTE 10 - PROPERTY, PLANT AND EQUIPMENT (Continued)

The movement of property, plant and equipment and the accumulated depreciation for three-months interim period ended 31 March 2012 is as follows:

	Land, land improvements and buildings	Machinery and equipments	Furniture and fixtures	Vehicles	Leasehold improvements	Construction in progress	Total
1 January							
Cost	345.309	3.117.906	308.668	30.149	9.763	75.394	3.887.189
Accumulated depreciation	(189.751)	(2.151.712)	(210.812)	(24.793)	(4.825)	-	(2.581.893)
Net book value	**155.558**	**966.194**	**97.856**	**5.356**	**4.938**	**75.394**	**1.305.296**
1 January 2012, net book value	155.558	966.194	97.856	5.356	4.938	75.394	1.305.296
Additions	-	-	14	65	-	11.045	11.124
Disposals, net	-	(82)	-	(893)	-	-	(975)
Transfers	864	8.582	3.406	1.132	-	(13.984)	-
Depreciation charge for the period	(1.689)	(36.530)	(5.258)	(495)	(59)	-	(44.031)
31 March 2012, net book value	**154.733**	**938.164**	**96.018**	**5.165**	**4.879**	**72.455**	**1.271.414**
As of 31 March 2012							
Cost	346.173	3.126.406	312.088	30.453	9.763	72.455	3.897.338
Accumulated depreciation	(191.440)	(2.188.242)	(216.070)	(25.288)	(4.884)	-	(2.625.924)
31 March 2012, net book value	**154.733**	**938.164**	**96.018**	**5.165**	**4.879**	**72.455**	**1.271.414**

As of 31 March 2012 there are no pledged assets as collateral (31 December 2011: None).

NOTE 11 - INTANGIBLE ASSETS

The movements of intangibles for three-months interim period ended 31 March 2013 and 2012 are as follows:

	License, fee and development costs	Other	Total
As of 1 January 2013			
Cost	1.380.923	58.403	1.439.326
Accumulated amortization	(720.699)	(34.566)	(755.265)
Net book value	**660.224**	**23.837**	**684.061**
1 January 2013, net book value	660.224	23.837	684.061
Additions	22.145	710	22.855
Disposals, net	-	-	-
Transfers	-	-	-
Amortization charge for the period	(40.015)	(1.973)	(41.988)
31 March 2013, net book value	**642.354**	**22.574**	**664.928**
As of 31 March 2013			
Cost	1.403.068	59.113	1.462.181
Accumulated amortization	(760.714)	(36.539)	(797.253)
31 March 2013, net book value	**642.354**	**22.574**	**664.928**

	License, fee development costs	Others	Total
As of 1 January 2012			
Cost	1.330.477	48.431	1.378.908
Accumulated amortization	(568.341)	(28.359)	(596.700)
Net book value	**762.136**	**20.072**	**782.208**
1 January 2012, net book value	762.136	20.072	782.208
Additions	38.709	931	39.640
Disposals, net	-	-	-
Transfers	-	-	-
Amortization charge for the period	(37.623)	(1.542)	(39.165)
31 March 2012, net book value	**763.222**	**19.461**	**782.683**
As of 31 March 2012			
Cost	1.369.186	49.362	1.418.548
Accumulated amortization	(605.964)	(29.901)	(635.865)
31 March 2012, net book value	**763.222**	**19.461**	**782.683**

Intangible assets are started to be amortized when the related assets are ready to be used. In relation to this, the Group has intangible assets amounting to TRY 130.823 (31 December 2012: TRY 106.514), which are not started to be amortised.

As of 31 March 2013, cost of intangible assets which are fully depreciated and still in use amounts to TRY 178.248 (31 December 2012: TRY 178.231)

NOTE 12 - PROVISIONS, CONTINGENT ASSETS AND LIABILITIES

Short-term provisions:

	31 March 2013	31 December 2012
Provision for warranty (*)	44.960	47.069
Provision for sale discounts	36.861	1.373
Provision for personnel expenses	5.387	5.239
Provision for legal cases	4.407	4.407
Other	7.415	14.015
Total	**99.030**	**72.103**

(*) Movement of the warranty provision is as follows:

	31 March 2013	31 March 2012
1 January	47.069	59.061
Paid during the year	(10.803)	(10.593)
Increase in provision during the period	8.694	7.997
31 March	**44.960**	**56.465**

Litigations against the Group

As of 31 March 2013 the total amount of outstanding legal claims brought against the Group is TRY 8.882 (31 December 2012: TRY 8.882). The Group has booked a reserve amounting to TRY 4.407 (31 December 2012: TRY 4.407) in the financial statements.

Guarantees provided by the Group:

The breakdown of letters of guarantee, guarantee notes given, mortgage and pledges (together referred to as guarantees) by the Group as of 31 March 2013 and 31 December 2012 is as follows:

	31 March 2013	31 December 2012
A. Total amount of Guarantees provided by the Company on behalf of itself	11.472	7.390
B. Total amount of Guarantees provided on behalf of the associates accounted under full consolidation method	-	-
C. Provided on behalf of third parties in order to maintain operating activities (to secure third party payables)	-	-
D. Other Guarantees given	-	-
i) Total amount of Guarantees given on behalf of the parent Company	-	-
ii) Total amount of Guarantees provided on behalf of the associates which are not in the scope of B and C	-	-
iii) Total amount of Guarantees provided on behalf of third parties which are not in the scope of C	-	-
	11.472	**7.390**

As of 31 March 2013 and 31 December 2012, the ratio of guarantees given by the Group on behalf of third parties or on behalf of its parent/associates to total equity is zero.

NOTE 12 - PROVISIONS, CONTINGENT ASSETS AND LIABILITIES (Continued)

Other

As of 31 March 2013 the Group has USD 767 milion of export commitments to be realized until 8 April 2014 in connection with the export incentive certificates. In connection with these export incentives certificates USD 27 million of the committed export sales have been realized as of 31 March 2013. Additionnally, the Group has 1.515 million of export commitment to be realized until 16 May 2013 in connection with the export incentive certificates. In connection with these export incentive certificates, USD 682 million of the committed export sales have been realized as of 31 March 2013 (31 December 2012: USD 1.505.055 of export commitments to be realized until 15 March 2013 and in connection with the export incentive certificates, USD769.563 million of the committed export sales have been realized).

The long-term bank borrowing agreement related to the financing of MCV and New Doblo projects requires the Group to comply with certain financial ratios. Such financial ratios are met by the Group as of 31 March 2013.

NOTE 13 - OTHER ASSETS AND LIABILITES

a) Other current assets

	31 March 2013	31 December 2012
Deferred VAT	44.900	24.143
Prepaid expenses	20.428	15.007
Witholding tax	17.945	14.211
Income accruals	16.289	33.498
Advances given	4.166	4.735
Other	12.578	20.791
Total	**116.306**	**112.385**

b) Other non-current assets:

As of 31 March 2013, the Group has other non-current assets amounting to TRY 19.183 (2012: TRY 15.762) comprising of mainly advances given for fixed asset purchase amounting to TRY 15.726 (2012: TRY 12.322).

c) Other liabilities

	31 March 2013	31 December 2012
Taxes and funds payable	41.207	14.450
Expense provisions	33.472	7.193
Deferred revenue	16.884	18.193
Social securities payable	16.469	8.574
Payable to personnel	6.686	21.115
Derivative financial instruments	3.004	3.593
Advances taken	-	2.007
Other	1.749	2.449
Total	**119.471**	**77.574**

NOTE 14 - SALES

a) Net sales

	1 January - 31 March 2013	1 January - 31 March 2012
Export sales	1.071.720	952.799
Domestic sales	560.431	548.789
Other income from operational activities	78.735	27.239
Total	**1.710.886**	**1.528.827**

The amount of sales discounts is TRY 66.571 (31 March 2012: TRY 67.930).

b) Production and sales quantities

	1 January-31 March 2013		1 January-31 March 2012	
	Production	**Sales**	**Production**	**Sales**
Manufactured vehicles				
MCV	28.442	27.217	28.764	28.698
Yeni Doblo	25.705	24.651	21.055	20.921
Linea	7.578	8.013	5.732	6.022
CKD Demonte	-	-	-	-
Doblo	2.258	4.054	2.994	3.052
Albea	-	-	-	668
SKD	-	-	-	-
Palio-Palio Van	-	-	-	34
Import Vehicles				
Grande Punto	-	1.648	-	1.125
Ducato	-	1.223	-	721
Alfa Romeo	-	224	-	166
Jeep		189	-	29
Freemont 4x4	-	160	-	-
Bravo	-	144	-	119
Panda	-	85	-	111
Lancia	-	57	-	20
Fiat 500	-	24	-	20
Ferrari	-	7	-	4
Scudo	-	5	-	6
Maserati	-	5	-	3
Stilo	-	-	-	-
Total	**63.983**	**67.706**	**58.545**	**61.719**

NOTE 15 - RESEARCH AND DEVELOPMENT EXPENSES, MARKETING, SELLING AND DISTRIBUTION EXPENSES AND GENERAL ADMINISTRATIVE EXPENSES

	1 January - 31 March 2013	1 January - 31 March 2012
Selling and marketing expenses	44.914	47.557
General and administrative expenses	34.475	30.293
Research and development expenses	3.817	2.405
Total	**83.206**	**80.255**

a) Selling and marketing expenses

	1 January - 31 March 2013	1 January - 31 March 2012
Shipment and insurance expenses	10.879	9.971
Advertisement expenses	9.909	11.587
Personnel expenses	8.966	8.294
Warranty expenses	8.137	8.233
Royalty expenses	797	426
Depreciation and amortization	620	593
Exhibition-fair expenses	380	484
Other selling and marketing expenses	5.226	7.969
Total	**44.914**	**47.557**

b) General and administrative expenses

	1 January - 31 March 2013	1 January - 31 March 2012
Personnel expenses	14.822	12.544
Depreciation and amortization expenses	3.415	2.846
Information technology expenses	3.259	2.056
Services obtained from third parties	3.057	2.823
Duties, taxes and levies	1.232	1.474
Insurance expenses	1.212	1.245
Travel expenses	753	839
Rent expenses	265	299
Other general and administrative expenses	6.460	6.167
Total	**34.475**	**30.293**

NOTE 16 - FINANCIAL INCOME / EXPENSES

	1 January - 31 March 2013	1 January - 31 March 2012
Foreign exchange gain	31.340	59.441
Interest income	24.805	37.448
Total financial income	**56.145**	**96.889**

	1 January - 31 March 2013	1 January - 31 March 2012
Foreign exchange loss	47.565	76.644
Interest expenses	9.283	23.620
Total financial expenses	**56.848**	**100.264**

NOTE 17 - TAX ASSETS AND LIABILITIES

a) General

The Group is subject to taxation in accordance with the tax regulation and the legislation effective in Turkey.

In Turkey, the corporation tax rate from 1 January 2006 onwards is 20%. Corporate tax returns are required to be filed by the twenty-fifth day of the fourth month following the balance sheet date and taxes must be paid in one installment by the end of the fourth month. The tax legislation provides for a temporary tax of 20% to be calculated and paid based on earnings generated for each quarter. The amounts thus calculated and paid are offset against the final corporate tax liability for the year.

As of 31 December 2010, the Group had written off deferred tax assets arising from unused investment incentives due to the expiration as of 31 December 2008, amounting to TRY2.141.858, through statement of income. Upon the meeting held by the Constitutional Court dated 15 October 2009 and upon the Constitutional Court conclusion on 8 January 2010, unused investment incentives of the Group have became available for use again and the Group has recognized deferred tax assets over the investment by increasing in proportion of PPI and revaluation rate amounted to TRY2.291.217 as of 31 March 2013.

In Turkey, the tax legislation does not permit a parent company and its subsidiaries to file a consolidated tax return. Therefore, provision for taxes, as reflected in the consolidated financial statements, has been calculated on a separate-entity basis.

Corporate tax losses can be carried forward for a maximum period of five years following the year in which the losses were incurred. The tax authorities can inspect tax returns and the related accounting records for a retrospective maximum period of five years.

NOTE 17 - TAX ASSETS AND LIABILITIES (Continued)

The taxation on income for 31 March 2013 and 2012 are as follows:

	31 March 2013	31 March 2012
Current year corporate tax	(28.117)	(2.902)
Deferred tax income / (expenses)	7.420	(2.789)
Total	**(20.697)**	**(5.691)**

b) Deferred tax assets and liabilities

The breakdown of temporary differences and the resulting deferred tax assets and liabilities provided at 31 March 2013 and 31 December 2012 using the current effective tax rates were as follows:

	Cumulative temporary differences		Deferred tax assets / (liabilities)	
	31 March 2013	31 December 2012	31 March 2013	31 December 2012
Provision for employee termination benefits and unused vacation	(139.018)	(133.887)	27.804	26.776
Warranty provisions	(44.960)	(47.069)	8.992	9.414
Property, plant and equipment and intangibles and inventories	899.582	920.194	(177.625)	(181.756)
Deferred income	(57.404)	(61.320)	11.480	12.306
Unused investment incentive (allowances)	(438.279)	(441.429)	131.484	132.430
Deferred investment incentive allowances	(2.291.217)	(2.387.329)	4.582	4.775
Other temporary differences	(27.101)	(16.657)	5.421	5.823
Deferred tax asset, net			**12.138**	**9.768**

The movement of the deferred tax asset balance during the period is as follows:

	1 January - 31 March 2013	1 January - 31 March 2012
Deferred tax asset at 1 January	9.768	63.758
Deferred tax income / (expense)	7.420	(2.789)
Amount accounted for under equity (*)	(5.050)	(11.628)
Deferred tax asset as of 31 March	**12.138**	**49.341**

(*) The amount which is accounted for under equity in connection with cash flow hedge is the tax effect of exchange losses subject to allowance from tax base in statutory records and reflected in the deferred tax charge.

NOTE 18 - EARNINGS PER SHARE

Earnings per share are determined by dividing net income by the weighted average number of shares that have been outstanding during the related period concerned. In 2013 and 2012, the weighted average number of shares outstanding is 50.000.000.000 and as of 31 March 2013 and 2012 earnings per share is Kuruş 0,21 and Kuruş 0,19 respectively.

NOTE 19 - TRANSACTIONS AND BALANCES WITH RELATED PARTIES

Related party balances

	31 March 2013	31 December 2012
Due from related parties		
Fiat	496.979	405.121
Otokoç A.Ş. (Otokoç - Subsidiary of Koç Holding A.Ş.)	98.549	96.980
Other	112	434
Total	**595.640**	**502.535**

Due to related parties

	31 March 2013	31 December 2012
Fiat	808.941	813.066
Mako Elektrik Sanayi ve Ticaret A.Ş. (Mako - Associate company of Fiat)	28.075	19.263
Other	17.060	27.294
Total	**854.076**	**859.623**

Other current liabilities due to related parties

Based on the Ordinary General Assembly decision at 29 March 2013, Group decided to distribute dividend amounting to TRY 480.000. TRY 435.758 consists of the net dividend to be paid to shareholders after tax deducted.

Related party transactions

Sales	1 January - 31 March 2013	1 January - 31 March 2012
Fiat	831.562	690.336
Otokoç A.Ş.	183.099	143.460
Other	5.300	2.619
Total	**1.019.961**	**836.415**

NOTE 19 - TRANSACTIONS AND BALANCES WITH RELATED PARTIES (Continued)

Domestic goods and services purchases	**1 January - 31 March 2013**	**1 January - 31 March 2012**
Mako Elektrik Sanayi ve Ticaret A.Ş.	29.928	25.495
Otokoç	37.314	23.986
Ram Dış Ticaret A.Ş.	23.023	8.582
Zer Merkezi Hizmetler ve Ticaret A.Ş. (*)	17.858	13.487
Matay Otomotiv Yan San. Ve Tic. A.Ş.	9.009	8.686
Plastiform Plastik San.Tic.A.Ş.	6.439	6.495
Opet Fuchs Madeni Yağlar Tic.A.Ş	2.505	2.159
Ram Sigorta Aracılık Hizmetleri A.Ş.	7.217	5.440
Koç Sistem Bilgi ve İletişim Hizmetleri A.Ş. (*)	1.988	2.005
Koç Holding A.Ş.	1.688	1.335
Akpa Dayanıklı Tüketim A.Ş. (*)	1.538	1.426
Setur Servis Turistik A.Ş. (*)	1.258	1.115
Other	1.319	3.047
Total	**141.084**	**103.258**

(*) Subsidiary of Koç Holding A.Ş.

Foreign trade good, material and service purchase	**1 January - 31 March 2013**	**1 January - 31 March 2012**
Fiat	635.345	520.377
Comau S.p.A.	188	170
Other	4.204	7.290
Total	**639.737**	**527.837**

Interest income from related parties, for the interim period ended 31 March 2013 is TRY 5.125. (31 March 2012: TRY 8.443).

Salaries and similar benefits paid to the top management consisting of 17 persons (2012: 16 persons) for the interim period ended 31 March 2013 is TRY 1.755 (2012: TRY 1.604).

There is no interest expense paid or accrued to related parties for the interim period ended 31 March 2013 (2012: None).

Furthermore, as of 31 March 2013, wholly owned subsidiary KFK has sold the exclusive issuance of bonds and treasury bills to Yapı ve Kredi Bankası A.Ş. It is accounted under other financial liabilities with a carrying amount of TRY 477.708 (31 December 2012: TRY 204.886).

NOTE 20 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT

Financial risk management objectives and policies

The Group's principal financial instruments are cash and cash equivalents and bank borrowings. The main purpose of these financial instruments is to raise finance for the Group's operations. The Group has various other financial instruments such as trade debtors and trade creditors, which arise directly from its operations. The main risks arising from the Group's financial instruments are interest rate risk, liquidity risk, foreign currency risk and credit risk. The Group management reviews and agrees policies for managing each of the risks as summarized below:

Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group attempts to control credit risk by monitoring credit exposures, limiting transactions with specific counterparties, and continually assessing the creditworthiness of the counterparties. It is the Group policy that all customers who wish to trade on credit terms are subject to credit screening procedures and the Group also obtains collaterals from customers when appropriate. In addition, receivable balances are monitored on an ongoing basis with the result that the Group's exposure to bad debts is not significant. Trade receivables are evaluated by management based on their past experiences and current economic condition, and are presented in financial statements net of provision for doubtful receivables (Note 6).

The amounts stated in the balance sheets reflects the maximum risk exposure of the Group.

Types of credit exposure of financial instruments;

	Trade receivables					
31 March 2013	**Related party**	**Other party**	**Other receivables**	**Bank deposits (Note 3,4)**	**Derivative instruments**	**Receivables from finance sector operations**
Maximum credit risk exposure as of reporting date (A+B+C+D+E) (1)	**595.640**	**278.867**	**153**	**1.747.568**	**199**	**1.147.382**
- Maximum risk secured by guarantee (2)	30.000	427.512	-	-	-	1.147.382
A. Net book value of financial assets neither overdue nor impaired	**593.640**	**273.122**	**153**	**1.747.568**	**199**	**1.147.382**
- Maximum risk secured by guarantee	30.000	421.767	-	-	-	1.147.382
B. Net book value of financial assets of which conditions are negotiated, otherwise considered as impaired or overdue	-	-	-	-	-	-
C. Net book value of assets overdue but not impaired	-	-	-	-	-	-
- Maximum risk secured by guarantee						
D. Net book value of impaired assets	-	**5.745**	-	-	-	**218**
- Overdue (gross book value)	-	6.168	-	-	-	6.168
- Impairment (-) (Note 6,7)	-	(423)	-	-	-	(5.950)
- Net value under guarantee	-	5.745	-	-	-	-
- Not overdue (gross book value)	-	-	-	-	-	-
- Impairment (-)	-	-	-	-	-	-
- Net value under guarantee	-	-	-	-	-	-
E. Off- balance sheet items having credit risk	-	-	-	-	-	-

(1) Guarantees received and factors increasing the loan reliability are not considered when determining this amount.
(2) Guarantees consist of guarantee notes, guarantee checks, mortgages and car pledges received from customers.

NOTE 20 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

	Trade receivables					
31 December 2012	**Related party**	**Other party**	**Other receivables**	**Bank deposits (Note 3,4)**	**Derivative instruments**	**Receivables from finance sector operations**
Maximum credit risk exposure as of reporting date (A+B+C+D+E) (1)	**502.535**	**263.849**	**169**	**1.637.362**	**169**	**1.177.658**
- Maximum risk secured by guarantee (2)	30.000	434.477	-	-	-	1.177.440
A. Net book value of financial assets neither overdue nor impaired	500.535	258.626	169	1.637.362	169	1.177.440
- Maximum risk secured by guarantee	30.000	429.254	-	-	-	1.177.440
B. Net book value of financial assets of which conditions are negotiated, otherwise considered as impaired or overdue	-	-	-	-	-	-
- Maximum risk secured by guarantee	-	-	-	-	-	-
C. Net book value of assets overdue but not impaired	-	-	-	-	-	-
- Maximum risk secured by guarantee	-	-	-	-	-	-
D. Net book value of impaired assets	2.000	5.223	-	-	-	218
- Overdue (gross book value)	-	6.168	-	-	-	6.168
- Impairment (-) (Note 6,7)	-	(945)	-	-	-	(5.950)
- Net value under guarantee	-	5.223	-	-	-	-
- Not overdue (gross book value)	-	-	-	-	-	-
- Impairment (-)	-	-	-	-	-	-
- Net value under guarantee	-	-	-	-	-	-
E. Off- balance sheet items having credit risk	-	-	-	-	-	-

(1) Guarantees received and factors increasing the loan reliability are not considered when determining this amount.
(2) Guarantees consist of guarantee notes, guarantee checks, mortgages and car pledges received from customers.

Aging analysis of trade receivables

Aging of the Group's receivables which are overdue but not impaired is as follows:

31 March 2013	**Trade receivables**
1-30 days past due	154.163
1-3 months past due	29.963
3-12 months past due	-
1-5 years past due	-
Over 5 years past due	-
Total	**184.126**

NOTE 20 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

Amount secured with guarantee

31 December 2012	Trade receivables
1- 30 days past due	162.060
1- 3 months past due	22.788
3- 12 months past due	-
1- 5 years past due	-
Over 5 years past due	-
Total	**184.848**
Amount secured with guarantee	**793**

As of 31 March 2013, TRY 105.402 of total past due receivables of the Group is due from the Group's related party Fiat (31 December 2012: TRY 174.974). As of 31 March 2013, the Group's payables to Fiat amounts to TRY 808.941 (31 December 2012: TRY 813.066).

Foreign currency risk

The Group is exposed to foreign exchange risk arising from the ownership of foreign currency denominated assets and liabilities with sales or purchase commitments. The policy of the Group is to compare every foreign currency type for the probable sales or purchases in the future.

As explained in detail in Note 5, according to the manufacturing agreements signed by the Group, the repayment obligations related to loans obtained for Doblo are guaranteed by Fiat and for Mini Cargo by Fiat and PSA through future purchases. As of 31 March 2013, loans obtained related with Doblo vehicle project have entirely been repaid. The Group's exposure to foreign exchange rate and interest rate fluctuations in relation with the loan obtained to manufacture Mini Cargo vehicles is undertaken by Fiat and PSA.

NOTE 20 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

		Table of foreign currency position			
31 March 2013		**TRY equivalent (functional currency)**	**USD**	**EUR**	**Other**
1.	Trade receivables	496.196	(60)	213.869	-
2a.	Monetary financial assets (including cash, bank accounts)	638.426	17	275.071	24
2b.	Non-monetary financial assets	-	-	-	-
3.	Other	41.133	-	17.725	-
4.	**Current assets (1+2+3)**	**1.175.755**	**(43)**	**506.665**	**24**
5.	Trade receivables	-	-	-	-
6a.	Monetary financial assets	-	-	-	-
6b.	Non-monetary financial assets	-	-	-	-
7.	Other	-	-	-	-
8.	**Non-current assets (5+6+7)**	**-**	**-**	**-**	**-**
9.	**Total assets (4+8)**	**1.175.755**	**(43)**	**506.665**	**24**
10.	Trade payables	(866.100)	71	(373.278)	-
11.	Financial liabilities	(311.274)	-	(134.135)	-
12a.	Monetary other liabilities	(10.545)	-	(4.544)	-
12b.	Non -monetary other liabilities	-	-	-	-
13.	**Current liabilities (10+11+12)**	**(1.187.919)**	**71**	**(511.957)**	
14.	Trade payables	-	-	-	-
15.	Financial liabilities	(870.780)	-	(375.239)	-
16a.	Monetary other liabilities	-	-	-	-
16b.	Non -monetary other liabilities	-	-	-	-
17.	**Non-current liabilities (14+15+16)**	**(870.780)**		(375.239)	-
18.	**Total liabilities (13+17)**	**(2.058.699)**	**71**	**(887.196)**	**-**
19.	**Net asset/(liability) position of off-balance sheet derivative instruments(19a+19b)**	**18.551**	**-**	**7.994**	**-**
19a.	Total hedged asset amount	18.551	-	7.994	-
19b.	Total hedged liability amount	-	-	-	-
20.	**Net foreign currency asset/(liability) position (9+18+19) (*)**	**(864.393)**	**28**	**(372.537)**	**24**
21.	**Net foreign currency asset/(liability) monetary items (1+2a+5+6a+10+11+12a+14+15+16a)**	**(924.077)**	**28**	**(398.256)**	**24**
22.	Total fair value of financial instruments used for foreign currency hedging	-	-	-	-
23.	Export	3.677.677		(459.048)	-
24.	Import	692.585		294.567	

(*) The Groups exposure to foreign exchange rate fluctuations on the long-term bank borrowings denominated in Euro are undertaken by Fiat and PSA. Accordingly, net foreign currency exposure of the Group excluding such borrowings as of 31 March 2013 is TRY 63.208 foreign currency liability position (TRY 162.488 foreign currency asset position when considering the foreign currency denominated inventory and fixed asset purchase advances).

NOTE 20 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

		Table of foreign currency position			
31 December 2012		**TRY equivalent (functional currency)**	**USD**	**EUR**	**Other**
1.	Trade receivables	397.723	(60)	169.167	-
2a.	Monetary financial assets (including cash, bank accounts)	446.103	30	189.638	27
2b.	Non-monetary financial assets	-	-	-	-
3.	Other	31.021	-	13.191	-
4.	**Current assets (1+2+3)**	**874.847**	(30)	371.996	27
5.	Trade receivables	-	-	-	-
6a.	Monetary financial assets	-	-	-	-
6b.	Non-monetary financial assets	-	-	-	-
7.	Other	-	-	-	-
8.	**Non-current assets (5+6+7)**	**-**	**-**	**-**	**-**
9.	**Total assets(4+8)**	**874.847**	(30)	371.996	27
10.	Trade payables	(836.802)	80	(355.889)	-
11.	Financial liabilities	(335.517)	-	(142.670))	-
12a.	Monetary other liabilities	(8.915)	-	(3.791)	-
12b.	Non-monetary other liabilities	-	-	-	-
13.	**Current liabilities (10+11+12)**	**(1.181.234)**	80	(502.350)	**-**
14.	Trade payables	-	-	-	-
15.	Financial liabilities	(883.096)	-	(375.514)	-
16a.	Monetary other liabilities	-	-	-	-
16b.	Non-monetary other liabilities	-	-	-	-
17.	**Non-current liabilities (14+15+16)**	**(883.096)**	**-**	**(375.514)**	**-**
18.	**Total liabilities (13+17)**	**(2.064.330)**	80	**(877.864)**	**-**
19.	Net asset / (liability) position of off-balance sheet derivative instruments (19a-19b)	42.331	-	18.000	-
19a.	Total hedged asset amount	42.331	-	18.000	-
19b.	Total hedged liability amount	-	50	-	27
20.	**Net foreign currency asset/(liability) position (9+18+19) (*)**	**(1.147.152)**	50	**(487.868)**	**27**
21.	**Net foreign currency asset/(Iiability) position of monetary items (1+2a+5+6a-10-11-12a-14-1 5-16a)**	**(1.189.483)**	**50**	**(505.868)**	**27**
22.	Total fair value of financial instruments used for foreign currency hedging	-	-	-	-
23.	Export	2.779.786	-	1.222.229	-
24.	Import	2.102.575	44	914.187	182

(*) The Groups exposure to foreign exchange rate fluctuations on the long-term bank borrowings denominated in Euro are undertaken by Fiat and PSA. Accordingly, net foreign currency exposure of the Group excluding such borrowings as of 31 December 2012 is TRY 88.7 million foreign currency asset position (TRY 77.09 million foreign currency asset position when considering the foreign currency denominated inventory and fixed asset purchase advances).

NOTE 20 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

The following table demonstrates the sensitivity to a possible change of 10% in the USD, EUR and other exchange rates in the Group's foreign currency denominated liabilities (excluding foreign currency denominated inventory and fixed asset purchase advances), with all other variables held constant, on the Group's income before tax as of 31 March 2013 and 31 December 2012:

		Exchange rate sensitivity analysis table 31 March 2013			
		Profit/loss		Equity	
		Appreciation of foreign currency	Depreciation of foreign currency	Appreciation of foreign currency	Depreciation of foreign currency
	10% change of USD against TRY:				
1-	USD net asset/liability	6	(6)	-	-
2-	Amount hedged for USD risk (-)	-	-	-	-
3-	**USD net effect (1+2)**	**6**	**(6)**	**-**	**-**
	10% change of EUR against TRY:				
4-	EUR net asset/liability	(105.967)	105.967	-	-
5-	Amount hedged for EUR risk (-)	111.312	(111.312)	111.312	(111.312)
6-	**EUR net effect (4+5)**	**5.345**	**(5.345)**	**111.312**	**(111.312)**
	10% change of other exchange rates against TRY:				
7-	Other exchange rates net asset/liability	8	(8)	-	-
8-	Amount hedged for other exchange rates risk (-)	-	-	-	-
9-	**Other exchange rates net effect (7+8)**	8	**(8)**	**-**	**-**
Total (3+6+9)		**5.359**	**(5.359)**	**111.312**	**(111.312)**

		Exchange rate sensitivity analysis table 31 December 2012			
		Profit/loss		Equity	
		Appreciation of foreign currency	Depreciation of foreign currency	Appreciation of foreign currency	Depreciation of foreign currency
	10% change of USD against TRY:				
1-	USD net asset/liability	11	(11)	-	-
2-	Amount hedged for USD risk (-)	-	-	-	-
3-	**USD net effect (1+2)**	**11**	**(11)**	**-**	**-**
	10% change of EUR against TRY:				
4-	EUR net asset/liability	(142.758)	142.758	-	-
5-	Amount hedged for EUR risk (-)	120.125	(120.125)	120.125	(120.125)
6-	**EUR net effect (4+5)**	**(22.633)**	**22.633**	**120.125**	**(120.125)**
	10% change of other exchange rates against TRY				
7-	Other exchange rates net asset/liability	9	(9)	-	-
8-	Amount hedged for other exchange rates risk (-)	-	-	-	
9.	**Other exchange rates net effect (7+8)**	**9**	**(9)**	**-**	**-**
Total (3+6+9)		**(22.613)**	**22.613**	**120.125**	**(120.125)**

NOTE 20 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

Interest rate risk

Interest rate risk stems from the probability of an impact of rate changes on financial accounts. The Group is exposed to interest rate risk due to maturity mismatch or differences of the assets and liabilities that are re-priced or matured in a specific period. These exposures are managed by using natural hedges that arise from offsetting interest rate sensitive assets and liabilities.

As of 31 March 2013 and 31 December 2012, the effect of +/- 0,5% change in interest rates until the next reporting period on the interest sensitive financial instruments in the balance sheet has been calculated as follows:

	1 January - 31 March 2013	**1 January - 31 December 2012**
Change in interest rates	%0.5	%0.5
Effect on net income before for taxes	(150)	(165)

Liquidity risk

Liquidity risk is the risk that an entity will be unable to meet its net funding requirements. The risk is mitigated by matching the cash in and out flow volume supported by committed lending limits from qualified credit institutions.

The breakdown of financial assets and liabilities according to their maturities is disclosed considering from balance sheet date to due date period. Financial assets and liabilities that have no certain due dates are classified in over one year column.

NOTE 20 - FINANCIAL INSTRUMENTS AND FINANCIAL RISK MANAGEMENT (Continued)

31 March 2013:						
Expected maturities	**Book Value**	**Total cash outflow per agreement (=I+II+III+IV)**	**Less than 3 months (I)**	**Between 3 - 12 months (II)**	**Between 1 - 5 years (III)**	**Over 5 years(IV)**
Non-derivative financial liabilities						
Bank loans	1.746.018	2.106.426	356.995	593.890	1.143.615	
	11.926					
Commercial paper issuance	477.708	563.097	140.018	233.498	189.581	-
Trade payables	1.864.329	2.914.368	2.707.502	206.866	-	-
Other current liabilities	119.545	119.546	119.546	-	-	-
Total	**4.207.600**	**5.703.437**	**3.324.061**	**1.034.254**	**1.333.196**	
	11.926					

Expected maturities (or per agreement maturities)	**Book Value**	**Total cash outflow per agreement (=I+II+III+IV)**	**Less than 3 months (I)**	**Between 3 - 12 months (II)**	**Between 1 - 5 years (III)**	**Over 5 years(IV)**
Derivative financial assets (net)	**-**	**(3.004)**	**-**	**(3.004)**	**-**	**-**
Derivative cash inflows	-	21.051	-	21.051	-	-
Derivative cash outflows	-	(24.055)	-	(24.055)	-	-

31 December 2012:						
Expected maturities (or per agreement maturities)	**Book Value**	**Total cash outflow per agreement (=I+II+III+IV)**	**Less than 3 months (I)**	**Between 3 - 12 months (II)**	**Between 1 - 5 years (III)**	**Over 5 years(IV)**
Bank loans	1.797.390	2.068.385	101.225	839.861	1.115.202	
	12.097					
Commercial paper issuance	488.354	363.546	137	146.180	217.229	-
Trade payables	1.342.733	1.351.310	1.272.733	78.577	-	-
Other current liabilities	77.574	77.574	-	-	-	-
Total	**3.706.051**	**3.860.815**	**1.374.095**	**1.064.618**	**1.332.431**	
	12.097					

Expected maturities (or maturities per agreement)	**Book Value**	**Total cash outflow per agreement (=I+II+III+IV)**	**Less than 3 months (I)**	**Between 3-12 months (II)**	**Between 1 - 5 years (III)**	**Over 5 years (IV)**
Derivative financial assets (net)	**-**	**(3.593)**	**(1.294)**	**(2.299)**	**-**	**-**
Derivative cash inflows	-	46.421	25.099	21.322	-	-
Derivative cash outflows	-	(50.014)	(26.393)	(23.621)	-	-

Capital management policy

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximize shareholder value. The Group manages its capital structure and makes amendments to it, in light of changes in economic conditions.

The Group has the power to organize the dividend payments in order to regulate and keep the capital structure. There is no change in policy, target or processes of the Group as of 31 March 2013.

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